

costs of labor power (O'Connor, 1973, p. 7 and Rowthorn, 1979, p. 12 and Gough, 1979, Appendix B). Within our framework we consider all expenditures of labor in non-production activities of the state as unproductive labor while some of such activities represent faux frais de production (administrative, militaristic, etc.) and others consumption of workers and capitalists.

There is also an issue on necessity which is rather implicit in the above justifications of the need for the concepts of reproductive or indirectly reproductive workers. The argument, for example in the context of "providing the productivity of the labor power that trains and maintains workers runs as follows: since these activities are necessary to keep workers alive, they are a component of the value of labor power" (Rose, 1977, p. 35; my emphasis, EAT). If these activities take place within the domain of the state, then the capitalists will have potentially higher profitability through the transfer of surplus labor. However, the fact that such activities are necessary does not make, contrary to Rowthorn's claim, "state employees...[having] much in common with productive workers" (Rowthorn, 1979, p. 12). Since the usage of the concept of "necessity" as part of the criteria for identifying PL in the debate of PUPL was previously discussed, we need only add that this particular position on indirect productivity is also inconsistent

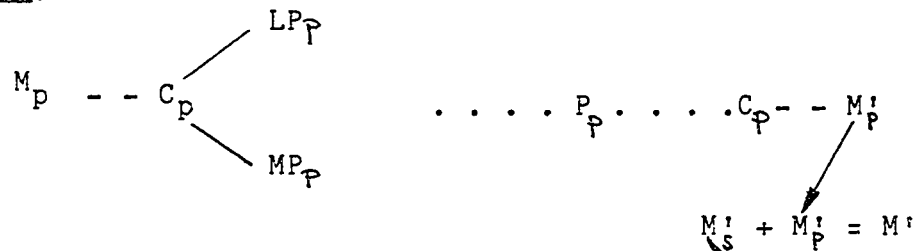
with Marx's own view. His focus in developing the criteria for PL was on the direct appropriation of the surplus labor by the capitalist class in a value production process.<sup>22</sup> He rather explicitly excludes many activities which also affect the production of surplus value (e.g., activities within the sphere of distribution which reduce the circulation time and might indirectly increase production of surplus value - Rose, 1977, p. 36) on the grounds that to do otherwise "would open the floodgates for false pretention to the title of productive labor" (Marx, 1963, p. 172). He also wrote: "workers paid out of government's treasury do not appear as productive workers, even though they increase the productive force of capital" (Marx, 1973, p. 533). It seems that considering activities which lead to an increase in the productive force of capital (such as domestic labor, or education or health-related labors in the reproduction of labor power), as indirectly productive of surplus value, hence a form of PL is not Marx's own intention as long as they are funded out of tax revenues. Besides, the very concept of indirect production of surplus value can be rejected on the grounds that it does not satisfy our two criteria for PL.

## B. State Distributive Activities As Subcircuits of the Circuit of Capital

In this section, I shall attempt to situate state's distributive activities within the circuit of capital and present them as subcircuits of the latter.

Since capitalist production in general is represented by the circuit of capital, both private capital and state capital can be seen as two distinct processes:

Private:



State:



In the above schemes, (p) stands for the private sector and (s) for the state sector.<sup>23</sup> The expanded money form of value in the production process is represented by  $M'_P$  and  $M'_S$  in the private and state sectors, respectively. At the aggregate level the economy's total gross money form of value  $M'$  is given by  $M' = M'_P + M'_S$ . Taxable components of this total value are only variable capital (V) and surplus-value (S) since constant capital (C) is value that has been previously produced, materialized and transferred. Diagrammatically



where (up) denotes unproductive activities. Note that at the starting point of the unproductive capital circuit, the amount of value was  $(S'_{up})$ , which equals the amount ultimately absorbed in unproductive activity. The whole purpose of this particular circuit from the unproductive capitalist point of view is then to appropriate  $(S'_{up}\pi)$ , the profit made in these unproductive branches, as redistributed surplus-value. Now the state can again collect taxes out of this final portion of surplus-value which ends up as profits of productive and unproductive sectors, i.e.,  $(S'_{up} - (C' + W_{nom}))$ . As expected, while the state imposes taxes on profit,  $(S_t)$ , it also supplies some benefits, subsidies, etc.,  $(S_{st})$ , to the capitalist which in turn transforms  $(S'_{nom})$  into effective surplus-value,  $(S_{eff}) = S'_{nom} - (S_t - S_{st})$ . The only component left untaxed at this level of abstraction is to portion of surplus-value which takes the form of unproductive workers' wages,  $W_{nom}$ . This component will also be taxes and benefit from state expenditures, thus being transformed into effective wages of unproductive workers,  $(W_{eff}) = W_{nom} - (W_t - W_{st})$ .

Based on the above discussion, net-tax paid by labor can be defined as net taxes paid by productive workers,  $(V_t - V_{st})$  plus those paid by unproductive workers,  $(W_t - W_{st})$ . Similarly, net taxes paid by capitalists (or non-labor segments) become equal to  $(S_t - S_{st})$ .

It must be noted that viewing economic activities of society from the perspective of the productive and taxable base of surplus-value ( $S_{nom}$ ) now becomes smaller by the value of  $C'$  ; it becomes  $(S_{nom} - C')$ . The material cost of unproductive activities escape value added, while wages of unproductive workers remain within the taxable base of surplus value.

### C. Towards an Empirical Illustration

To sum up, in this chapter the issue of PUPL distinction and its significance for our work are discussed. As a second theoretical element for our empirical study of state revenues and expenditures, the concept of sub-circuits is developed. The latter theoretical construction is especially useful in demonstrating the distributive role of the state vis a vis the working class and the capitalist class. However, our empirical study in the following chapter will be limited to questions concerning the role of state only with regard to the working class and attempts to measure the net effect of the state's distributive activities on this class. As an extension of our empirical analysis, the rate of surplus-value will also be calculated and the impact of state distributive activities on the effective rate of surplus-value will be shown for the period 1952-80.

### Footnotes

1. Dealing with the PUPL distinction via the formulation of such human activities is suggested by Shaikh. (Shaikh, 1980, p.10)
2. Interpretations continue to be made, hence also errors in assessing Marx's ideas on this subject. Although there is agreement on the general significance of production of military goods, labor-power and luxury goods for the accumulation process, there is no common understanding for the classification of labor employed in the production of those commodities as PL or UPL.

Utilization of the distinction between PUPL with subjective moral and political preferences usually creates only confusion. Although at a later stage some of those mistakes relevant for classifying state expenditures will be discussed, it is timely to cite three typical highly confused articles. The first one is an attempt by J. F. Henry to extend A. Smith's concept of PUPL and Marx's concepts of exploitation and oppression to socialist economies. (Cf. Henry, 1975), for a critique of this article see (Tonak, 1980). The other two, by J. O'Connor and E. K. Hunt, both attempt to defend socialist relations by criticizing inefficiencies and irrationalities of capitalism based on a PUPL distinction. (Cf. O'Connor, 1975 and Hunt, 1979). For a general critique of this approach see (Shaikh, 1980).

3. On the common and specific aspects of the sphere of distribution Marx says:

"no matter how differently distribution may have been arranged in different stages of social development, it must be possible here also, just as with production, to single out common characteristics, and just as possible to confound or to extinguish all historic differences under general human laws. For example, the slave, the serf and the wage laborer all exist as slaves, as serfs, as wage laborers. The conqueror who lives from tribute, or the official who lives from taxes, or the landed proprietor and his rent, or the monk and his alms, or the Levite and his tithe, all receive a quota of social production, which is determined by other laws than that of the slave's etc." (Marx, 1973, p. 87)

4. "The dividing line between production and consumption activities is at the same time a dividing line between labor and non-labor activities. But it was precisely this latter division which the classical economist felt to be inadequate, because it was their contention that not all labor resulted in the creation of new wealth. It was therefore necessary for them to distinguish not merely between production and non-production (consumption) activity, but also between production and nonproduction labor. In other words, between that they called 'productive' and 'unproductive' labor." (Shaikh, 1980, p. 10)
5. "Only bourgeois narrow-mindedness, which regards the capitalist forms of production as absolute forms - hence as eternal, natural forms of production - can confuse the question of what is productive labor from the standpoint of capital with the question of what labor is productive in general, or what is productive labor in general; and consequently fancy itself very wise in giving the answer that all labor which produces anything at all, which has any kind of result, is by that very fact productive labor." (Marx, 1963, p. 393; my emphasis - EAT).
6. For a position that finds Marx's framework incoherent, see (Harrison and Gough, 1975) and (Hunt, 1979).
7. In this sense, it is perfectly possible to talk about Grundrisse Marxists, 1844 Manuscripts Marxists and even corresponding political 'lines.'
8. Shaikh's contribution should be cited as one of the leading critiques of this error in the sense of both identifying the error itself and clarifying the contents of some crucial concepts such as production, non-production, use-value, capital, etc., which have been extensively utilized in the discussion of PUPL. Although his conclusion on the significance and implications of the PUPL distinction is quite different from Shaikh's. Mandel, in his introductory remarks to the new England edition of Capital, also attempts to deal with those crucial concepts. (Mandel, 1976 and Mandel, 1978).
9. The segment of C...P...C' of the money capital circuit, which Marx calls "productive consumption", is especially important for my purpose of classifying state expenditures. It might be noted that only a portion of this productive consumption is exclusively a productive consumption of productive labor:



the rest is productive consumption of material. Productive consumption, as a concept, refers to a kind of consumption activity which both transfers and creates value.

10. A similar point of view, in different form, was also elaborated in the Grundrisse: "Labor as mere performance of services for the satisfaction of immediate needs has nothing whatever to do with capital, since that is not capital's concern. If a capitalist hires a woodcutter to chop wood to roast his mutton over, then not only does the woodcutter relate to the capitalist, but also the capitalist to the woodcutter, in the relation of simple exchange. The woodcutter gives him his service, a use-value, which does not increase capital; rather, capital consumes itself in it; and the capitalist gives him another commodity for it in the form of money. The same relation holds for all services which workers exchange directly for the money of other persons, and which are consumed by these persons. This is consumption of revenue, which, as such, always falls within simple circulation; it is not consumption of capital. Since one of the contracting parties does not confront the other as a capitalist, this performance of a service cannot fall under the category of productive labor. From whore to pope, there is a mass of such rabble." (Marx, 1973, p. 272)
11. The definitions of PUPL in Marx's writings can be found in several places besides those quoted above. He discussed this issue extensively in TSV-I, Resultat, and in a tendential manner in Capital and Grundrisse, e.g. TSV-I, pp. 152-3, p. 156, p. 396 and Resultat, p. 1049, etc.
12. The basic source in which Marx critically interpreted other writings on PUPL is TSV-I (pp. 152-330). For an excellent review of pre-classical contributions on PUPL, including Greek (Plato, Aristotle, etc.) and Moslem (Abu Hanifah, Ibn Khaldun, etc.) philosophers, Coontz's book must be consulted. (Coontz, 1965, pp. 1-8)
13. Obviously, having a common understanding on PUPL does not necessarily imply that those classical economists share the same positions on other issues of economic theory.
14. It is also possible to cite a third definition of PL in Smith; that is, "(T)here is one sort of labor which adds value to the subject upon which it is bestowed." (Smith, 1976, p. 314) Although Marx

mentioned that definition in passing, he never explicitly classified it as another definition, hence never critically analyzed it. Yet he made the following remark about it: "... in this passage Adam Smith treats as productive labor, labor which in general 'produces a value.'" (Marx, 1969, p. 156)

15. Also, see (Marx, 1969, p. 289)
16. For other references on the necessity of commercial activities and their unproductive and non-value producing characteristics, see (Marx, 1956, pp. 132-3 and p. 148).
17. The above quote is in itself rather extreme hence conceptually problematic, since it requires an absurd relation of exchange of a capitalist's labor power with his own capital and requires him to be a participant in the production process so that the labor activity of the capitalist might be classified as productive. If it is assumed that not only laborers but the capitalist himself produces a part of the surplus-value produced in that particular process of capitalist production, then the issue is conceptually resolved. In distinguishing classes, the criterion of being wage-labor or not seems highly reasonable and operational. In that sense, not only productive wage laborers, but unproductive wage laborers as well must be classified as members of the working class. Evidently enough, the latter suggestion of criterion does not imply in any sense that all wage-laborers must be regarded as productive workers. In relation to this point Marx says:

"...the fact that with the growth of capitalist production all services become transformed into wage-labor, and those who perform them into wage-laborers, means that they tend increasingly to be confused with the productive worker, just because they share this characteristic with him. This confusion is all the more tempting because it arises from capitalist production and is typical of it. On the other hand, it also creates an opening for its apologists to convert the productive worker, simply because he is wage-laborer, into a worker who only exchanges his services (i.e. his labor as a use-value) for money. This makes it easy for them to gloss over the specific nature of this 'productive worker' and of capitalist production - as the production of surplus-value, as the self-valorization of capital in which living labor